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News Letter

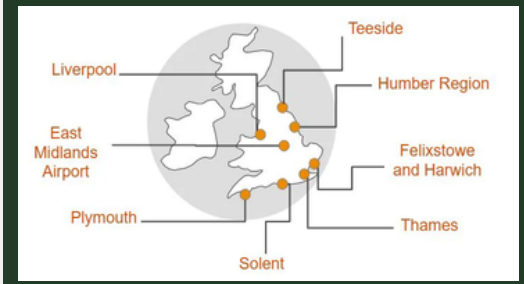
September Recap

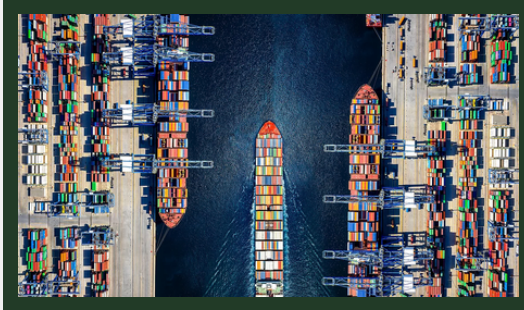
FINANCE FORWARD: WHERE FINANCE MEETS INNOVATION



Freeports: The Tax-Free Hubs Driving Global Trade

A Freeport (also known as a free trade zone or customs-free zone) is a designated economic zone inside a country. Companies import raw materials into these zones without paying any import duties. Inside the hub, workers process the goods into finished products. Businesses then re-export the final items globally, so they pay zero tariffs throughout the production process. Governments build freeports around major ports and airports to attract foreign direct investment. They also offer slashed corporate tax rates and simplified regulations to create local manufacturing jobs. Cities like Dubai and Singapore use this strategy, and they have transformed into major trade hubs. At the same time, critics point out serious drawbacks. Companies sometimes use freeports for tax avoidance, and wealthy individuals store art and gold in opaque vaults to bypass regulatory scrutiny.





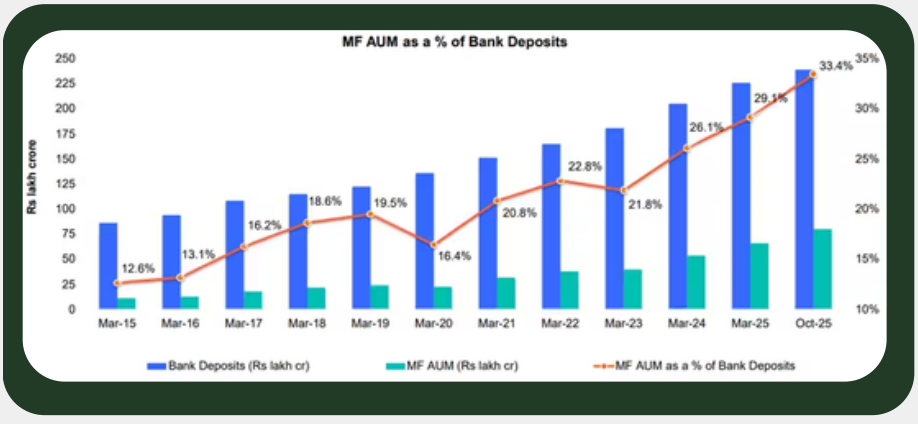
Threat to the Dollar: BRICS Currency Connectivity

The BRICS nations are trying to rely less on the US dollar for international business. Instead of launching one single shared currency, they are linking their national payment systems directly. This project, known as BRICS currency connectivity, relies on digital payment platforms like BRICS Pay and mBridge. These platforms allow member countries to connect systems like India's UPI and China's CIPS. As a result, businesses can trade directly in their local currencies like rupees, yuan, or real. This setup bypasses traditional banking networks like SWIFT, which lowers transaction fees and protects these nations from US economic sanctions. The US dollar still dominates global reserves today, but this rising payment system could slowly shrink the dollar's role in world trade over time.



Bank of India Value Fund: Finding Growth in Undervalued Assets

The Bank of India Value Fund is an open-ended equity mutual fund scheme focused on a value investing strategy. Benchmarked against the NIFTY 500 TRI, the fund primarily targets out-of-favor or mispriced stocks. In simple terms, the fund managers look for good companies whose stock prices are currently cheap or underrated by the broader market. By purchasing underappreciated equity assets, the fund aims to deliver capital appreciation over time as market valuations correct upward. When the market eventually realizes their true worth and the stock prices rise, investors make a profit. This approach protects investors from buying overly expensive popular stocks. It is a great option if you have a higher risk tolerance and can stay invested for a few years, because cheap stocks often take time to reach their real value.



Private Credit & Shadow Banking: The $1.7 Trillion Shift

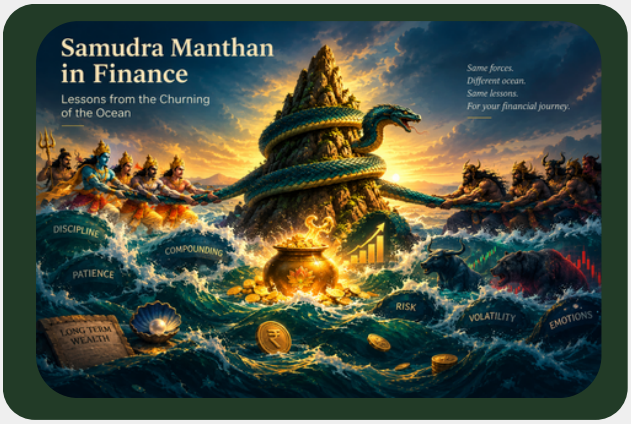
Private credit is a growing $1.7 trillion market where companies borrow money from private investment firms instead of traditional banks. After recent banking regulations, traditional banks became stricter about who they lend to. Non-bank lenders like Blackstone stepped in to fill this gap by lending money directly to medium-sized businesses. Companies like this option because they get faster loan approvals and custom payout terms. However, financial experts are worried. These private loans do not trade on public markets, so it is hard to tell how risky or healthy they really are if companies struggle to pay them back. Private credit is now growing fast in places like India, shifting big business loans away from regular banks and into private investment hands.





Samudra Manthan in Finance: Lessons from the Churning of the Ocean

In Hindu mythology, Samudra Manthan (the churning of the ocean) represents the search for Amrit (the nectar of immortality). However, before the nectar emerged, the churning released Halahal, a deadly poison that threatened to destroy the world. Modern financial markets follow the exact same pattern. Whenever investors look for high returns, they must navigate market volatility, fraud, and sharp drops first. For example, high-risk assets like crypto, high-yield bonds, or early-stage startups can offer great rewards, but they also bring extreme downside risks. Just as Lord Shiva drank the poison to save the world, smart investors use risk management, stop-losses, and hedging strategies to protect their portfolios. To gain long-term wealth, you must respect the process, handle the dangerous spikes first, and remain patient until the true value emerges.



NSE's Historic Stock Market Debut

The National Stock Exchange of India (NSE) made its highly anticipated market debut on September 24, 2026, listing directly on the Bombay Stock Exchange (BSE). Current shareholders sold ₹22,562 crore worth of their own shares (an Offer for Sale), giving them a lucrative exit, while opening broader ownership to public investors. Demonstrating robust market appetite, the IPO was subscribed 5.71 times across investor categories. NSE shares opened at Rs. 1800 per share, drawing instant market focus. As the world's largest derivatives exchange by trading volume, handling billions of digital contracts daily, NSE's public listing marks a major milestone in India's financial infrastructure, cementing its key role in powering global equity and derivative markets.



Sovereign Wealth Funds 2.0: Saudi's PIF and Gulf Capital Redrawing Global M&A

Sovereign wealth funds from the Gulf region are changing how global business deals happen. Led by Saudi Arabia's Public Investment Fund, Abu Dhabi's Mubadala, and the Qatar Investment Authority, these state owned funds control trillions of dollars. In the past, they simply bought small shares of stock in Western companies. Today, they directly fund major corporate takeovers, artificial intelligence projects, and global infrastructure. As traditional banks in Europe and the US slow down their lending, these Gulf funds have become the main source of cash for big deals. However, this investment comes with new conditions. In exchange for funding, Gulf state investors now require foreign companies to build local factories, transfer technology, and expand operations into the Middle East.







InJ's $100 Million India-Japan Venture

In a major push for bilateral investment, platform Ideas N Journey (InJ) has outlined plans to deploy approximately $100 million across India's high-growth consumer and healthcare sectors. Operating out of GIFT City, Gujarat, where eligible investment structures enjoy an attractive 20-year tax holiday, InJ aims to bridge Japanese capital and technology with expanding Indian enterprises. Rather than spreading capital thin, the platform is adopting a concentrated growth strategy, targeting a curated portfolio of just 3 to 5 high-potential businesses. The initiative focuses on next-generation family-run companies and consumer-focused real assets. By establishing joint ventures and cross-border operational partnerships, InJ intends to help Indian enterprises scale faster while giving Japanese investors direct exposure to India's dynamic domestic market.



Park Idle Cash Smartly with Liquid Funds

Liquid mutual funds offer an efficient alternative to conventional savings accounts, allowing individuals and corporates to put emergency cash to work without sacrificing safety or accessibility. These debt schemes invest strictly in high-quality, fixed-income instruments maturing within 91 days, effectively minimizing interest rate and capital risk. Under SEBI regulations, liquid funds must maintain at least 20% of their assets in cash and government securities, guaranteeing fast, hassle-free redemptions typically processed within 24 hours. Possessing zero lock-in periods, they offer seamless liquidity whenever cash is needed. By delivering historically higher returns than standard savings deposits while preserving capital, liquid funds serve as an ideal vehicle for maintaining financial emergency buffers, managing short-term business surplus, and parking idle money productively.



Adani Group's ₹1 Lakh Crore West Bengal Investment

The Adani Group has unveiled an ambitious mega-investment roadmap committing over ₹1 lakh crore to West Bengal by 2035. Aimed at transforming the state's economic landscape, the comprehensive plan covers critical infrastructure, energy, healthcare, and digital operations. Key capital allocations will target ports, logistics networks, power distribution, highways, bridges, green cement units, and hyperscale data centres. A major highlight of this initiative is the construction of "Adani Arogya Mandir," a 2,000-bed state-of-the-art hospital coming up in New Town near Kolkata with a dedicated investment exceeding ₹4,000 crore. Rather than a singular project, this ₹1 lakh crore blueprint serves as a long-term economic catalyst, modernizing commercial transit, building digital infrastructure, and significantly upgrading regional medical facilities over the next decade.







India's $12 Billion Semiconductor Boom & ASML Entry





India's ambition to become a global chipmaking hub received a massive boost with $12 billion pledged in fresh investments from global equipment, chemical, and materials suppliers. Major industry players like Applied Materials and Lam Research are establishing local facilities, while Tata Electronics has inked strategic accords to build end-to-end supply chains. In a pivotal development, Dutch semiconductor giant ASML has officially commenced operations in India, hiring its initial engineering teams. Crucial to global chipmaking, ASML supplies advanced lithography systems required to print microscopic circuits onto silicon wafers. ASML has partnered with Tata Electronics for its upcoming ₹91,000 crore 300-mm semiconductor fab (fabrication plant) in Dholera, Gujarat, which boasts pre-booked output capacity reaching 50,000 wafers monthly and is projected to create over 100,000 high-tech jobs nationwide.





Adam Smith: Startups and Market Understanding





Adam Smith's classic economic framework offers timeless lessons for modern startup founders navigating competitive markets. Central to Smith's vision is the concept of "effectual demand", the idea that sustainable businesses must solve genuine market needs at prices customers are willing to pay, rather than pursuing hypothetical interest. Smith argued that the "invisible hand" coordinates free markets by aligning individual self-interest with broader social utility. For founders, this means market signals like price adjustments, competition, and customer feedback act as critical guideposts. A startup cannot force demand; instead, it thrives by identifying gaps, allocating capital efficiently, and offering value. Understanding Smith's principles reminds entrepreneurs that true market fit relies on respecting economic forces, adapting to consumer signals, and building sustainable, self-regulating business models.







KEY FEATURES AT GLANCE:



- **Freeports**: Tax-efficient trade hubs attract investment, manufacturing, and exports, but may enable tax avoidance and opaque asset storage.
- **BRICS**: Local-currency payment connectivity seeks to reduce dollar and SWIFT dependence.
- **Value Fund**: Targets undervalued stocks for long-term capital appreciation.
- **Samudra Manthan**: High returns require risk management and patience.
- **Private Credit**: Rapidly expanding non-bank lending brings flexibility alongside opacity.
- **Gulf Funds**: Sovereign investors increasingly finance global deals and strategic expansion.
- **NSE**: 2026 listing marks a major Indian financial-market milestone.
- **India**: Semiconductor, infrastructure, healthcare, and Japan-linked investments signal expanding growth opportunities.





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